

UK GREEN & SUSTAINABLE PROPERTY MARKET OUTLOOK (2025–2035)

(All monetary values converted to GBP using USD/GBP = 0.80)

1. Current Baseline (2024–2025)

- UK green building market: ~£5.3bn in 2024; forecast to reach ~£13.7bn by 2033.
- Energy retrofit market: expected ~£15.8bn by 2030.
- Majority of UK homes at EPC C/D; median EPC = D.
- Current premiums: EPC A/B homes sell for ~1.7–2.8% more; F/G discounted 3–5%.

2. Growth Drivers

- Regulation tightening (Future Homes Standard, MEES).
- High energy costs motivating demand.
- Investor shift toward ESG and long-term resilience.
- Under-supply of green buildings, especially commercial.

3. 2025–2035 Market Size Forecast

2024 baseline: ~£5.3bn.

By 2030:

- Conservative: £8.0–£8.8bn.
- Base: £9.6–£11.2bn.
- Bull: £12.0–£13.6bn.

By 2035:

- Conservative: £10.4–£12.0bn.
- Base: £14.4–£17.6bn.
- Bull: £19.2–£22.4bn.

4. Share of Green Stock (Residential)

2030:

- Conservative: 25–30%
- Base: 30–40%
- Bull: 40–50%

2035:

- Conservative: 35–45%
- Base: 45–60%
- Bull: 60–70%

5. Commercial Stock Outlook

- ~56% of London office space considered obsolete by upcoming efficiency standards.
- Prime green office vacancy <2%; may hit zero availability by 2028.
- By 2035, expect 50–75% of investible office stock to be green-compliant.

6. Price Premiums & Discounts

Residential (vs EPC D):

2030:

- Premiums: A/B (3–6%), C (1–3%).
- Discounts: F/G (7–10%).

2035:

- Premiums: A/B (6–12%), C (3–6%).
- Discounts: F/G (12–25%).

Commercial:

- Prime green offices show 10–20% higher capital values by 2035.
- Stranded brown assets may fall 25–40%.

7. Yield Forecasts

Residential PRS/BTR:

- By 2030: +10–50 bps yield advantage for green stock.
- By 2035: widen another 25 bps.

Commercial:

- 50–100 bps green yield compression by 2030.
- 75–150 bps by 2035.

8. Strategic Implications

- Green becomes the “new core”.
- Brown assets shift into value-add category due to capex needs.
- Retrofit market is a decade-long growth opportunity.
- London an early indicator of green premiums.